

Government and Welfare

by Tripartite Workgroup to Uplift Wages

30 August 2021

*The Government accepts all 18 recommendations by the Tripartite Workgroup on Lower-Wage Workers (refer to **Annex A** for a summary of recommendations).*

2 The Tripartite Workgroup was formed in October 2020 to:

- Ensure wage growth in mandatory Progressive Wage Model (PWM) sectors continue to outpace median wage growth;
- Significantly increase the number of lower-wage workers covered by PWMs;
- Offer progressive wages in occupations not covered by the mandatory PWMs;
- Recognise and promote stronger societal support for firms that pay progressive wages; and
- Advance the well-being of lower-wage workers.

3 The Tripartite Workgroup's recommendations can be found in the Tripartite Workgroup's Report - Progress through Solidarity & Dynamism at mom.gov.sg/twg-lwwreport.

4 The Government will work closely with the tripartite partners to implement them.

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ANNEX – Summary of Recommendations by Tripartite Workgroup on Lower-Wage Workers

To refresh our Progressive Wage approach and coverage to boost wages to gain ground with median

- Expand Progressive Wages to new sectors: Retail from 1 September 2022, Food Services from 1 March 2023, and Waste Management from 2023.
- Extend existing Cleaning, Security and Landscape PWMs to in-house workers from 1 September 2022.
- Introduce new Occupational Progressive Wages to Administrators and Drivers from 1 March 2023.
- Firms employing foreign workers have to pay at least the Local Qualifying Salary to all local workers from 1 September 2022. This will be so even if the firm has excess foreign worker quota, or the Sectoral or Occupational Progressive Wages do not apply to the firm's local workers.
- Progressive Wages and Local Qualifying Salary will be converted to fair hourly rates for those working part-time or overtime. This will provide firms flexibility to hire locals on different work arrangements without losing foreign worker access, while ensuring fair wages for workers based on their hours worked.

6. Baseline Progressive Wage growth for workers at the 20th percentile should outpace median wage growth, so that lower-wage workers gain ground with the median. Aim for higher than baseline Progressive Wage growth for lower-paid lower-wage workers; and lower than baseline Progressive Wage growth for workers in wage rungs above the 20th percentile wage level.
7. Maintain the overarching principle that wages should continue to keep pace with productivity growth, but provide scope for wage growth of lower-wage workers to outpace productivity. As lower-wage workers may be in roles with limited scope for productivity improvement, businesses should continue to enhance their firm-level productivity to better support wage increases for workers.

To leverage our institutions to ensure sustained wage growth

8. The National Wages Council should set annual guidance for Progressive Wage growth and recommend annual wage growth of Occupational Progressive Wages.
9. Firms employing foreign workers have to pay at least the relevant Sectoral or Occupational Progressive Wages to all local workers in applicable job roles.
10. Leverage the Work Pass system to ensure that employers pay Progressive Wages and Local Qualifying Salary before they can access any foreign workers, while complemented by current licensing regimes.
11. In the long-term, express Progressive Wages in gross terms.

To promote whole-of-society support to uplift lower-wage workers

12. Government should review Workfare regularly to ensure that lower-wage workers continue to be supported even as Progressive Wages become more pervasive.
13. Government should provide transitional support for employers, with higher support in the initial phase as businesses recover from the impact of COVID-19.
14. Beyond wages, employers should advance well-being of lower-wage workers by (i) supporting them to upskill and progress in their careers; (ii) providing them with a safe and healthy work environment; and (iii) providing them with adequate rest areas.
15. Establish a new Tripartite Standard on Advancing Lower-Wage Workers' Well-Being, to help more firms adopt and implement the specified practices and be publicly recognised for doing so.
16. Establish a new Progressive Wage Mark ("PW Mark") to recognise firms that pay Progressive Wages. This will enable corporate buyers and individual consumers to purchase from these firms to support lower-wage workers' wage increases. In addition, confer "PW Mark Plus" to firms that go the extra mile to uplift lower-wage workers holistically by advancing their well-being.
17. Public and private sector buyers should require their suppliers to obtain the PW Mark.
18. Grow the Alliance for Action for Lower-Wage Workers, so that uplifting lower-wage workers is a whole-of-society endeavour.

